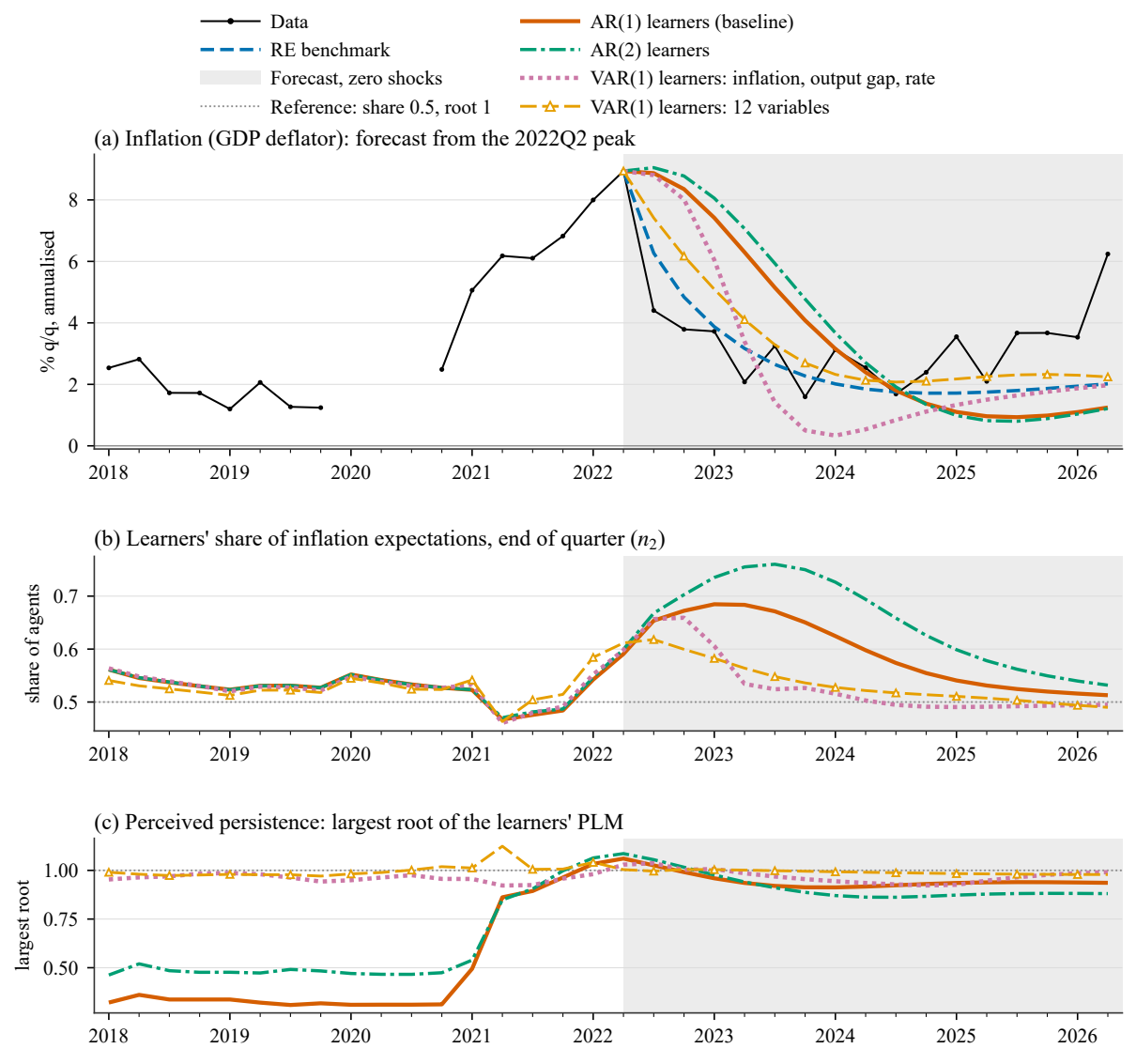
Data
RE benchmark
Forecast, zero shocks
Reference: share 0.5, root 1
AR(1) learners (baseline)
AR(2) learners
VAR(1) learners: inflation, output gap, rate
VAR(1) learners: 12 variables
(a) Inflation (GDP deflator): forecast from the 2022Q2 peak
% q/q, annualised
0
2
4
6
8
2018
2019
2020
2021
2022
2023
2024
2025
2026
(b) Learners' share of inflation expectations, end of quarter (n_2)
share of agents
0.5
0.6
0.7
(c) Perceived persistence: largest root of the learners' PLM
largest root
0.50
0.75
1.00